borrowed amount could be returned only in terms of goods and services. But the modern money-economy has greatly facilitated the borrowing and lending processes in terms of money. In other words, money now acts as the standard of deferred payments.

iii) **Money as a Means of Transferring Purchasing Power:** The field of exchange also went on extending with growing economic development. The exchange of goods is now extended to distant lands. It is therefore, felt necessary to transfer purchasing power from one place to another.

3.Contingent Functions

i) **Basis of the Credit System:** Money is the basis of the Credit System. Business transactions are either in cash or on credit. For example, a depositor can make use of cheques only when there are sufficient funds in his account. The commercial banks create credit on the basis of adequate cash reserves. But, money is at the back of all credit.

ii) **Money facilitates distribution of National Income:** The task of distribution of national income was exceedingly complex under the barter system. But the invention of money has now facilitated the distribution of income as rent, wage, interest and profit.

iii) **Money helps to Equalize Marginal Utilities and Marginal Productivities:** Consumer can obtain maximum utility only if he incurs expenditure on various commodities in such a manner as to equalize marginal utilities accruing from them. Now in equalizing these marginal utilities, money plays an important role, because the prices of all commodities are expressed in money. Money also helps to equalize marginal productivities of various factors of production.

iv) **Money Increases Productivity of Capital:** Money is the most liquid form of capital. In other words, capital in the form of money can be put to any use. It is on account of this liquidity of money that capital can be transferred from the less productive to the more productive uses.

4.Other Functions

i) **Money helps to maintain Repayment Capacity:** Money possesses the quality of general acceptability. To maintain its repayment capacity, every firm has to keep assets in the form of liquid cash. The firm ensures its repayment capacity with money. Likewise, banks, insurance companies and even governments have to keep some liquid money (i.e., cash)to maintain their repayment capacity.

ii) **Money represents Generalized Purchasing Power:** Purchasing power kept in terms of money can be put to any use. It is not necessary that money should be used only for the purpose for which it has been served.

iii) **Money gives liquidity to Capital:** Money is the most liquid form of capital. It can be put to any use.

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